

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics
and Monetary Premium

Current Supply

121.6M ETH

ETH Price

\$2,243

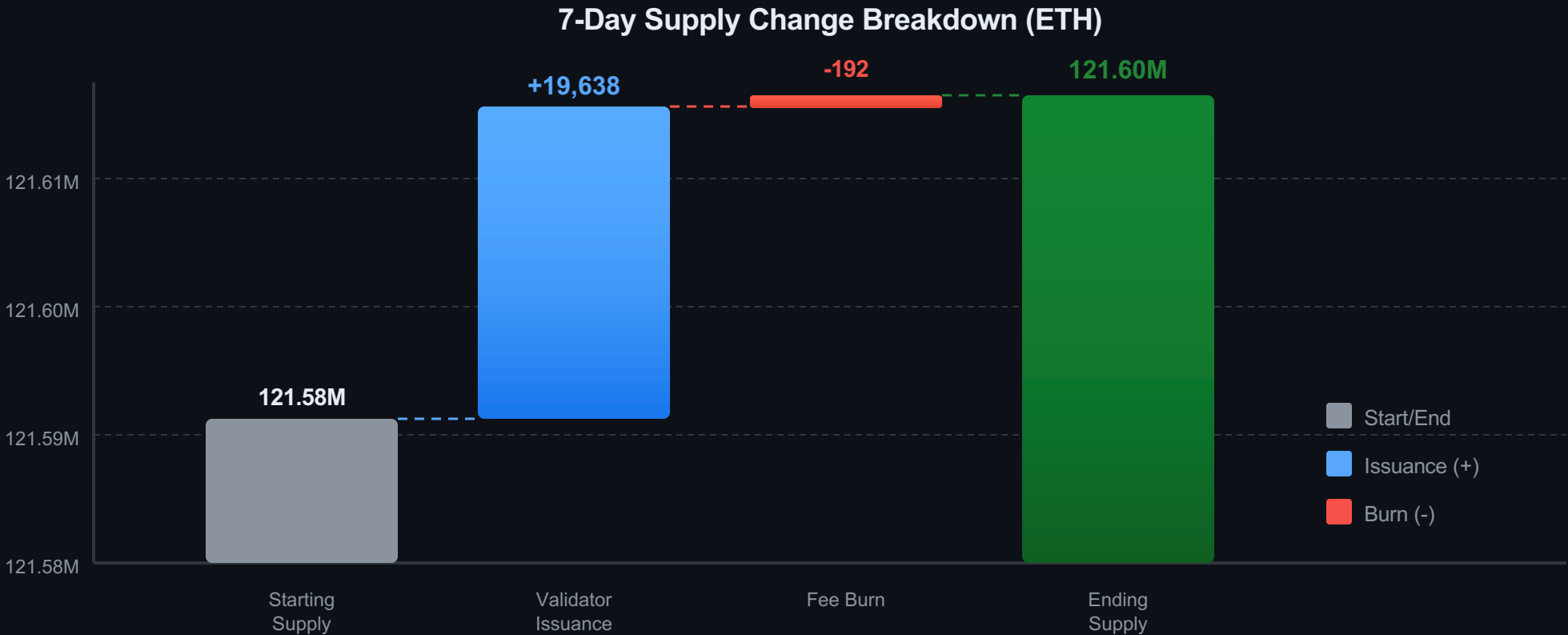
Base Gas

0.1 Gwei

ETH Supply Growing at +0.83%/Year

Only 192 ETH Burned in 7 Days vs 19,638 ETH Issued

KEY INSIGHT: Burn mechanism currently offsetting only ~1% of new issuance — supply remains mildly inflationary



7-Day Net Change
+19,445.89 ETH (+0.83%/year)

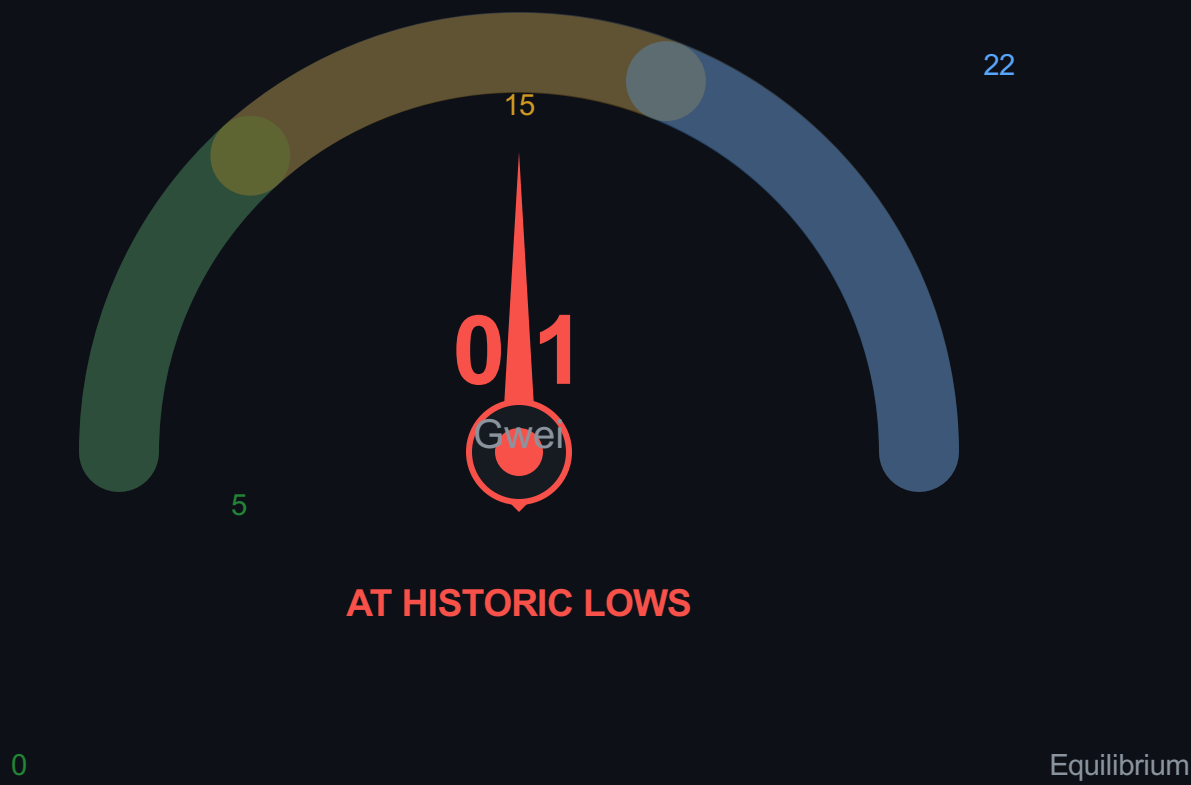
Offset Ratio
0.01x (burns 1% of issuance)

Current Supply
121,603,980 ETH

Base Gas at Historic Lows: 0.1 Gwei Average

Suppresses Fee Burn — Current Levels Far Below 22 Gwei Equilibrium Needed for Deflation

HEADWIND: Low gas = minimal burn = temporary supply inflation until on-chain activity recovers



Gas Market Statistics (7-Day)

Minimum	Maximum
0.0 Gwei	1.3 Gwei
Average	Equilibrium
0.1 Gwei	22 Gwei

Blob Gas (EIP-4844)

Average Blob Gas:	7,144,934 wei
7-Day Blob Fees Burned:	0.15 ETH (\$319)

Note: 22 Gwei equilibrium = issuance-burn balance at ~1,037K ETH/year

DeFi and ETH Transfers Account for 85%

of Weekly Fee Burn — Topped by ETH Transfers (21.74 ETH) and Tether (13.55 ETH)

DOMINANT CATEGORIES DeFi (31 ETH) + ETH Transfers (22 ETH) = 53 ETH of 62 ETH total (excl. blob fees)



Top Burn Entries
7-Day Leaderboard

ETH Transfers21.74 ETH

Tether USDT13.55 ETH

DeFi Protocols~10 ETH

NFT Marketplaces~3 ETH

Total (excl. blobs)~62 ETH

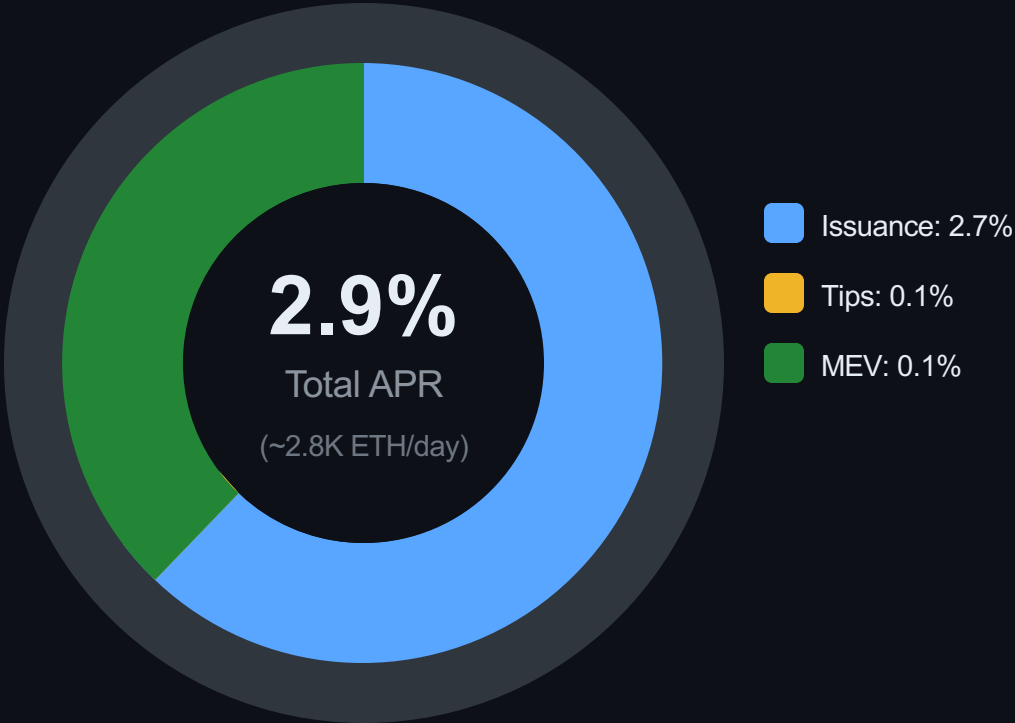
Key Observation

DeFi and ETH transfers dominate fee burn at current low gas prices. Blob fees (EIP-4844) contribute negligibly (0.15 ETH/week) despite processing L2 data availability. Activity recovery would drive burn higher.

38.9M ETH Staked at 2.7% Issuance Rewards

Minimal Tips (0.1%) and MEV (0.1%) — Scarcity Engine Locks 9.1M ETH for avg 10.7 years

SCARCITY MECHANISM 32% of supply locked in staking creates structural demand pressure even at low activity levels



Total ETH Staked
38.9M ETH (~32% of supply)

Staking Contracts Locked
9.1M ETH (avg 10.7 year lock)

Daily PoS Issuance
~2,800 ETH/day (vs ~2.2K/day burn at normal gas)

Per-Validator Annual Reward		
Issuance	Tips	MEV
0.9 ETH	~0 ETH	~0 ETH

Long-Term Equilibrium: 125.7M ETH

Projected at 22 Gwei Equilibrium — Issuance-Burn Balance of ~1,037K ETH/Year

THESIS: Post-merge supply growth has flattened dramatically; equilibrium reached when gas activity sustains ~22 Gwei



Supply Growth by Era

Pre-merge (PoW)	Post-merge (Current)	At Equilibrium	Issuance Rate	Burn Rate (22 Gwei)
+4.5%/yr	+0.83%/yr	0%/yr	2.8K/day	2.2K/day

ETH at 18.7% of Bitcoin's Market Cap

Securing \$272B in Native Value — \$307B+ Total Value Secured Demonstrates Growing Monetary Premium

MONETARY PREMIUM Ethereum captures 18.7% of BTC cap, 0.89% of gold, 1.30% of USD — growing share of global monetary hierarchy

Flipping Progress



Total Value Secured (TVS)\$307.6B Total

ETH (Native)	\$272.76B	(88.7%)
ERC20	\$22.21B	(7.2%)
NFTs	\$12.66B	(4.1%)

Top TVS Assets

ETH (Native)	\$272.76B
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Top ERC20s

Dai	\$4.41B
Shiba Inu	\$3.51B
Cronos	\$2.97B
Tether Gold	\$2.65B

Top NFTs

CryptoPunks	\$2.13B
BAYC	\$0.68B
ENS	\$0.63B
Pudgy Penguins	\$0.51B

Community: 6,000+ members

Key Takeaways

Ultra Sound Money Thesis Intact — But Gas Activity Is the Critical Variable

1 | CURRENT INFLATIONARY PRESSURE

ETH is mildly inflationary at +0.83%/year

Due to historically low gas (avg 0.1 Gwei), burns offset only ~1% of issuance over the past 7 days.

2 | BURN MECHANISM WORKS (WHEN ACTIVE)

EIP-1559 burn is structurally sound

DeFi + ETH transfers account for 85% of fee burn.
Requires sustained on-chain activity to drive deflation.

3 | STAKING CREATES SUPPLY LOCK

38.9M ETH (32%) staked in validators

9.1M ETH locked in contracts for avg 10.7 years.
Validators earn ~2.7% APR primarily from protocol issuance.

4 | LONG-TERM EQUILIBRIUM SOUND

125.7M ETH equilibrium projected

At 22 Gwei equilibrium: ~1,037K ETH/year balance.
Thesis depends on on-chain activity recovery.

5 | GROWING MONETARY PREMIUM

\$307B+ TVS with 18.7% of Bitcoin's market cap

ETH secures native (\$272.76B) + ERC20s (\$22.21B) + NFTs (\$12.66B). Community of 6,000+ members tracking monetary metrics. Demonstrates growing but still early monetary premium vs gold (0.89%).

Forward-Looking Implication

Ultra Sound Money thesis requires gas activity recovery to ~22 Gwei sustained average. Low gas is a temporary headwind, not a structural flaw. Monitor: L2 adoption, DeFi growth, NFT activity, and blob fee burn trajectory.